

CONSOLIDATED PERFORMANCE

+5.7%

FFO per share YoY

+37.2%

EPS YoY

+12.2%

EPRA NAV YoY

- **Excellent set of results** showing robust generation of cash flow
- **FFO per share of € 0.32** (+5.7% YoY) and **AFFO of € 0.30**, well placed to overcome FY17 guidance of € 0.55 per share
- **DPS Guidance upgraded** from € 0.44 per share to **€ 0.46 per share** (+4.6%)
- **EPRA NAV per share at € 11.89** (+12.2% YoY, +5.9% vs 31/12/16)

(€ million)	6M17	6M16	YoY
Total revenues	242.6	158.0	+53.5%
Gross rents	235.1	154.6	+52.1%
Net rents	208.0	142.3	+46.2%
Gross-to-net margin	88.5%	92.0%	
EBITDA ⁽¹⁾	198.6	135.5	+46.6%
Margin	81.9%	85.8%	
FFO ⁽²⁾	148.6	96.7	+53.7%
AFFO	142.6	n.a.	n.a.
IFRS Net earnings	421.4	211.1	+99.6%

(€ per share)	6M17	6M16	YoY
FFO	0.32	0.30	+5.7%
AFFO	0.30	n.a.	n.a.
EPS	0.90	0.65	+37.2%
EPRA NAV	11.89	10.60	+12.2%

BUSINESS PERFORMANCE

+2.6%

Rents like-for-like⁽³⁾ YoY

Same perimeter
as 6M16
(Excludes MVC)

+3.4% **+5.5%** **+16.3%**

Office S. Centers Logistics
Release spread

All
portfolio
in 6M17

+177 bps

Occupancy vs 31/12/16

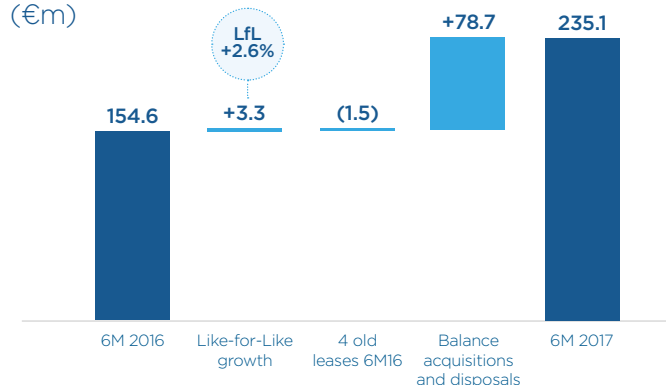
93.1%

- **Office:** 236,089 sqm contracted. **LfL⁽³⁾** of **+2.7%** and **release spread** of **+3.4%**
- **Shopping centers:** 71,587 sqm contracted. **LfL⁽³⁾** of **+3.0%** and **release spread** of **+5.5%**
- **Logistics:** 183,121 sqm contracted. **LfL⁽³⁾** of **+6.9%** and **release spread** of **+16.3%**

	Contracted	Rent		Leasing activity	Occ. vs 31/12/16
	sqm	€m	LfL change	Release spread	bps
Office	236,089	108.5	+2.7%	+3.4%	+132
Shopping centers	71,587	47.3	+3.0%	+5.5%	+68
High street retail	n.a.	52.1	+0.9%	n.m.	-
Logistics	183,121	19.5	+6.9%	+16.3%	+329
Other	n.a.	7.7	+11.2%	n.m.	(36)
Total	490,797	235.1	+2.6%		+177

Gross rents bridge

(€m)



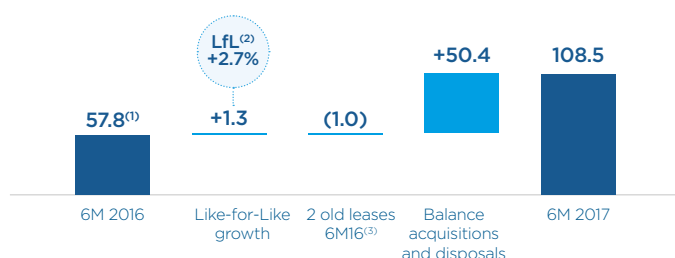
⁽¹⁾ Excludes non-recurring items (€ 3.0m) plus LTIP accrual (€ 26.75m)

⁽²⁾ FFO equals EBITDA less net interest payments, less minorities, less recurring income taxes plus share in recurring earnings of equity method. FFO reported in 6M16 has been rebased in accordance with this methodology

⁽³⁾ Portfolio in operation for the 6M16 (€ 128.8m of GRI) and for the 6M17 (€ 132.1m of GRI)

OFFICES

Gross rents bridge (€m)



Rents breakdown

	Gross rents 6M17 (€ m)	Annual passing rent (€ m)	Passing rent (€/sqm/m)
Madrid	88.2	175.5	16.9
Barcelona	14.5	29.8	13.2
Lisbon	4.4	9.4	17.4
Other	1.5	2.9	10.7
Total	108.5	217.6	16.2

Leasing activity

- **Good performance** in our 3 core markets, delivering **+3.4% release spread** on average
- **Main tenants contracted in 2Q:**
 - 6,187 sqm new lease with Eugin on Balmes 236, Barcelona, occupying the entire asset
 - 10,732 sqm renewed with Uria on Principe de Vergara 187, Madrid
 - 5,447 sqm renewed with Fujitsu on Citypark Cornella, Barcelona

	Contracted Sqm	Out	In	Renewals	Net	Release spread	# Contracts
Madrid	200,894	(23,212)	36,018	164,876	12,806	+3.1%	72
Barcelona	34,152	(10,736)	14,926	19,226	4,191	+6.3%	26
Lisbon	1,043	(467)	-	1,043	(467)	+7.9%	1
Total	236,089	(34,415)	50,944	185,145⁽⁵⁾	16,529	+3.4%⁽⁴⁾	99⁽⁴⁾

Occupancy

- **Occupancy increasing in Madrid** (+105 bps) and **very significantly in Barcelona** (+312 bps), driven by the new leases in Balmes 236, Sant Cugat I, Diagonal 458 and Citypark Cornella
- Lisbon perimeter changed after the acquisition of Central Office, with 91.6% occupancy
- By markets, **best performer in the period has been Barcelona CBD** where Eugin has let 6,187 sqm in Balmes leading to almost full occupancy in the CBD area

Stock	1,254,885 sqm
WIP	54,253 sqm
Stock incl. WIP	1,309,138 sqm

	Occupancy rate		Change bps
	30/06/17	31/12/16	
Madrid	88.9%	87.9%	+105
Barcelona	88.8%	85.7%	+312
Lisbon	92.7%	94.2%	(154)
Other	100.0%	100.0%	0
Total	89.3%	87.9%	+132

⁽¹⁾ Rebased after reclassification of assets (€ 57.4m reported in 30/06/16)

⁽²⁾ Office portfolio in operation for the 6M16 (€ 48.4m) and for the 6M17 (€ 49.7m)

⁽³⁾ Vestas and Endesa-Sevilla

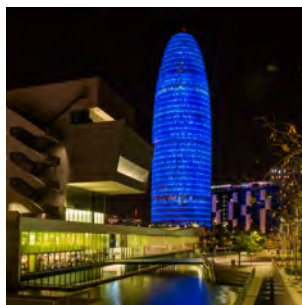
⁽⁴⁾ Excluding Other

⁽⁵⁾ Including 33,831 sqm of roll-overs not considered for the release spread analysis

OFFICES (CONT.)

WIP AND REFURBISHMENTS

WIP



Torre Glòries

- One of the **most iconic buildings** in Barcelona, located in the **prime area** of Diagonal junction with Plaza de les Glòries **(22@)**
- New lobby almost completed, floors redesign works recently commenced

GLA **37,614 sqm**ERV **€ 10.3m**ERV YoC **6.5%**Acquisition **€ 142m**Investment **€ 15m**Delivery **Mar-18**

Torre Chamartín

- **LEED Platinum tower**, located in the junction between A-1 and M-30
- **AAA** specifications, led by architect Miguel Oriol
- **Works well advanced** with good savings over original budget

GLA **16,639 sqm**ERV **€ 3.9m**ERV YoC **6.25%**Acquisition **€ 31.0m**Investment **€ 31.0m**Delivery **Mar-18**

Refurbishments



Avda. Europa

Scope	Budget	% executed	GLA (sqm)	Delivery	Pre-let
Full refurb	€ 6.6m	100%	12,605	Sep-17	100%



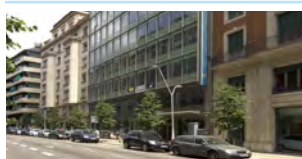
Puerta de las Naciones

Full refurb	€ 5.0m	86%	10,619	Dec-17	100%
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Eucalipto 33

Lobby + common areas	€ 3.4m	11%	7,185	Oct-17	Initial phase
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Balmes

Full refurb	€ 1.8m	1%	6,187	Jun-18	100%
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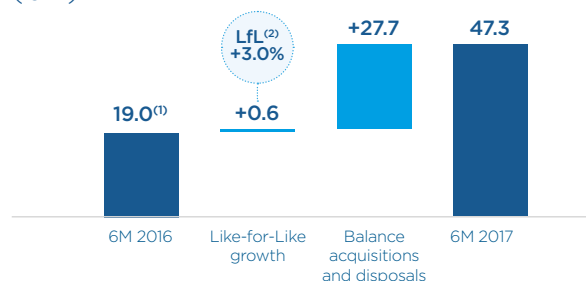
Juan Esplandiú

Façade + lobby + individual floors	€ 1.8m	58%	28,008	Dec-17	84%
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SHOPPING CENTERS

Gross rents bridge

(€m)



Rents breakdown

	Gross rents 6M17 (€ m)	Annual passing rent (€ m)	Passing rent (€/sqm/m)
MERLIN	47.3	91.6	19.1

Footfall and tenant sales

	6M17 LTM	6M16 LTM	YoY
Footfall	91.4m	89.0m	+2.7%
Tenant sales	€ 787.6m	€ 758.1m	+3.9%
OCR	12.9%	-	-

Leasing activity

- **Portfolio showing strength** with positive footfall and tenant sales coupled with **notable release spread and like for like growth**
- **Main tenants contracted in 2Q:**
 - 1,609 sqm new lease with Cines Axion in La Fira
 - 689 sqm new lease with Sprinter in Marineda
 - 4,143 sqm renewed with Conforama in Marineda
 - 1,878 sqm renewed with H&M in Artea

	Contracted	Out	In	Renewals	Net	Release spread	# Contracts
Total	71,587	(16,555)	19,529	52,058 ⁽⁴⁾	2,974	+5.5%	84

Occupancy

- **Positive move in occupancy** (+68 bps)
- **Marineda performed particularly well** due to several extensions of space signed with Inditex brands (where their new image to be exported worldwide has just been implemented) and the **successful opening of the sports area**
- As part of the Capex plan for **El Saler**, **retenancing** measures are being implemented, causing **voluntary vacancy** on a temporary basis
- Occupancy increase achieved in spite of the bankruptcies of Blanco and Shana (5,804 sqm)

Stock	418,178 sqm
Opcion+Tres Aguas ⁽³⁾	104,174 sqm
Stock with Opcion+Tres Aguas	522,352 sqm

Occupancy rate			
	30/06/17	31/12/16	Change bps
Total	89.3%	88.6%	+68

⁽¹⁾ € 20.4m reported. € 19.0 m after reclassification of Plaza de los Cubos as High Street retail

⁽²⁾ Shopping centers portfolio in operation for the 6M16 (€ 19.9m) and for the 6M17 (€ 20.5m) assuming full consolidation of Arturo Soria SC

⁽³⁾ Tres Aguas at 100% allocation

⁽⁴⁾ Including 28,984 sqm of roll-overs not considered for the release spread analysis

SHOPPING CENTERS (CONT.)

INVESTMENTS, REFURBISHMENTS AND DEVELOPMENTS

Refurbishments

Marineda

Scope	Budget	% executed	GLA (sqm)	Delivery	Pre-let
Sports area creation	€ 1.6m	100%	3,402	Sep-17	91%

El Saler

Scope	Budget	% executed	GLA (sqm)	Delivery	Pre-let
Extension (+3,100 sqm), façade and accesses	€ 13.1m	5%	23,086	Dec-18	n.a.

Thader

Scope	Budget	% executed	GLA (sqm)	Delivery	Pre-let
Nickelodeon park and common areas	€ 8.9m	85%	5,096	Oct-17	100%

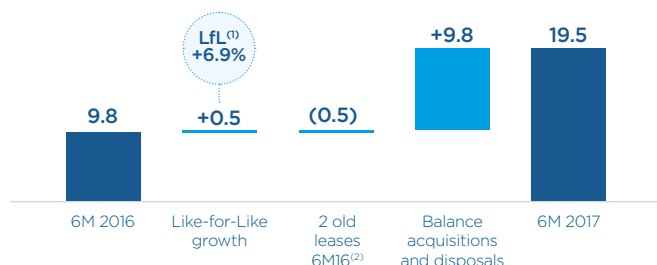
Arturo Soria

Scope	Budget	% executed	GLA (sqm)	Delivery	Pre-let
Façade, accesses, installations, lighting and floors	€ 2.8m	16%	5,974	April-18	n.a.

LOGISTICS

Gross rents bridge

(€m)



Rents breakdown

	Gross rents 6M17 (€ m)	Annual passing rent (€ m)	Passing rent (€/sqm/m)
Madrid	9.1	20.1	3.6
Barcelona	5.0	10.7	4.9
Other	5.4	10.4	3.5
Total	19.5	41.2	3.9

Leasing activity

- **Strong market dynamics** driving a **very positive** release spread in **Madrid (+16.3%)** and new leases signed at very attractive terms
- **Main tenants contracted in 2Q:**
 - 49,793 sqm new lease with DSV in Cabanillas Park I (5th module)
 - 27,195 sqm renewed with Dachser in Guadalajara-Azuqueca I
 - 16,812 sqm new lease with Zamorano on Barcelona-Sant Esteve, fully occupying the asset
 - 3,721 sqm new lease with Molenbergnatie on PLZF, Barcelona

	Contracted	Out	In	Renewals	Net	Release spread	# Contracts
Madrid	130,952	-	49,793	81,160	49,793	+16.3%	6
Barcelona	31,102	-	26,730	4,372	26,730	-	-
Other	21,066	(4,952)	2,367	18,699	(2,585)	-	-
Total	183,121	(4,952)	78,890	104,231⁽³⁾	73,938	+16.3%	6

Occupancy

- **Madrid portfolio is fully occupied**
- Zamorano and Molenbergnatie contracts have **boosted occupancy in Barcelona** to reach virtually full occupancy

Stock	921,226 sqm
WIP	580,049 sqm
Stock incl. WIP	1,501,275 sqm
ZAL PORT	399,048 sqm
ZAL PORT WIP	31,859 sqm
Stock managed	1,932,182 sqm

Occupancy rate			
	30/06/17	31/12/16	Change bps
Madrid	100.0%	100.0%	-
Barcelona	99.1%	86.6%	+1,253
Other	95.8%	96.8%	(103)
Total	98.6%	95.4%	+329

⁽¹⁾ Logistics portfolio in operation for the 6M16 (€ 7.6m) and for the 6M17 (€ 8.1m)

⁽²⁾ UPS and Logista

⁽³⁾ Including 23,071 sqm of roll-overs not included for the release spread analysis

LOGISTICS (CONT.)

INVESTMENTS, REFURBISHMENTS AND DEVELOPMENTS

Investments



Cabanillas Park I

- **Logistics park** located 51 kms from Madrid city centre and 42 kms from Barajas airport
- **Direct access** to both A-2 and R-2 highways
- MERLIN-Cabanillas I is **divided in 5 modules**. 100% let to Logista, Luis Simoes, XPO Logistics and DSV
- GLA acquired in 1H17 (4 modules) is **164,553 sqm**

GLA **202,607 sqm**GRI **€ 7.8m**YoC **8.2%**Occupancy **100%**Investment **€ 96.1m**

Developments

Meco II

Budget	% executed	GLA (sqm)	Delivery	Pre-let
€ 29.4m	100%	59,891	Jun-17	100%

Pinto I

Budget	% executed	GLA (sqm)	Delivery	Pre-let
€ 5.8m	100%	11,098	Jun-17	100%

Pinto II

Budget	% executed	GLA (sqm)	Delivery	Pre-let
€ 20.2m	50%	59,017	Jul-17	100%

Azuqueca II

Budget	% executed	GLA (sqm)	Delivery	Pre-let
€ 47.4m	-	98,000	Built to suit	-

Sevilla ZAL I

Budget	% executed	GLA (sqm)	Delivery	Pre-let
€ 2.7m	10%	5,400	Jan-18	100%

Madrid-Getafe (Gavilanes)

Budget	% executed	GLA (sqm)	Delivery	Pre-let
€ 32.1m	100%	39,576	Dec-17	-

BALANCE SHEET

- On May 17, 2016, MERLIN completed the issuance of **€ 600m of unsecured bonds**, with 8-year maturity and an annual coupon of 1.75%.
- The proceeds were used to repay € 200m of unsecured bank debt and € 180m of revolving credit facility

	€ million
GAV	10,459
Gross financial debt	5,216
Cash ⁽²⁾	(451)
Net financial debt	4,765
EPRA NAV	5,586

Ratios

LTV	45.6%
Av. interest rate	2.24%
Av. Maturity (years)	6.2
Unsecured debt to total debt	75.8%
Interest rate fixed	98.4%
Liquidity position ⁽¹⁾ (€m)	871.3

Corporate rating

S&P Global	BBB
Moody's	Baa2

VALUATION

- € 10,459m GAV, +3.7% LfL growth**, showing a steady while prudent growth pace
- By asset category, **+4.7% LfL growth in office, +5.1% in shopping centers and + 6.0% in logistics**. High Street retail not revalued in first half (+0.2%)

	GAV (€ m)	LfL Growth	Gross yield	Yield compression
Office	4,772	+4.7%	4.6%	11 bps
Shopping centers	1,694	+5.1%	5.4%	27 bps
Logistics	590	+6.0%	7.0%	18 bps
High Street retail	2,208	+0.2%	4.7%	0 bps
Land under development	422	n.a. ⁽³⁾	n.a.	
Other	294	+4.3%	4.3%	
Non-core land	132	(1.5%)	n.a.	
Equity method	346	+3.6%	n.a.	
Total	10,459	+3.7%	4.9%	11 bps

⁽¹⁾ Includes available cash plus payment rights of divestments and unused credit facilities (€ 420m)

⁽²⁾ Includes cash and deferred payment of hotels disposals (€ 52.0m)

⁽³⁾ GAV included under office and logistic for LfL growth purpose

INVESTMENTS, DIVESTMENTS, CAPEX

- € 175.5m of assets acquired and € 8.1m of assets divested in the period (+12% premium vs latest reported appraisal)
- Intense period of asset management driving significant development and refurbishment activity for a total amount of € 85.4m and € 30.7m, respectively

	Office	Retail	Logistics	€ million
Acquisitions	Torre Glories, Central Office			175.5
Development & WIP	Torre Chamartin		Madrid-Meco II, Madrid-Pinto, Guadalajara-Azuqueca Cabanillas Park I (B, C, D, E), Cabanillas Park II, Gavilanes	85.4
Refurbishment	Juan Esplandiu, Avda Europa, Eucalipto 33, Puerta de las Naciones	Marineda, El Saler, Arturo Soria		30.7
Like-for-like portfolio (Defensive Capex) ⁽¹⁾				7.3
Total				298.8

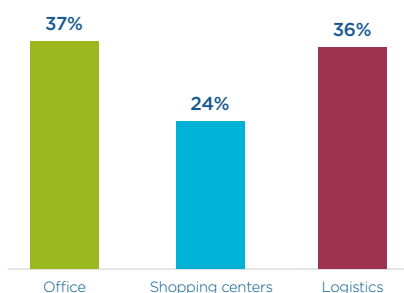
⁽¹⁾ € 6.0m are capitalized in balance sheet and € 1.3m are expensed in P&L

SUSTAINABILITY

- 15 new LEED/BREEAM certificates obtained
- 10 certificates since last reported

Madrid-Meco	Madrid Cabanillas (B&C)	Avda Bruselas 26	Centro Oeste	Avda. Burgos 210
				
LEED Platino	LEED Gold	LEED Silver	BREEAM Correct	BREEAM Very Good

% GAV certified



POST CLOSING EVENTS

- On 18 September, MERLIN completed the issuance of € 300m of unsecured bonds with 12-year maturity and an annual coupon of 2.375%



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